



Commendable! The government's initiative would result in greater manufacturing and growth. Some of the challenges before all of us are how to synergise the

state governments to extend a helping hand, and how to ensure that the policy once announced remains stable for the committed period.

— **N.K. Goyal, president,**
Communication Manufacturers'
Association of India (CMAI)



The policy outlines the much-needed impetus required for electronics manufacturing to act as an enabler of economic growth and prosperity. The document specifies the vision to transform India into a global hub for electronics system design and manufacturing so as to meet the growing domestic and global demand.

— **K. Srinivasan, secretary,**
ELCINA ELCINA Electronic Industries
Association of India



The holistic approach proposed for innovation and product creation will provide the necessary fuel to address the \$400-billion demand for electronics products by 2020.

— **Dr Satya Gupta, vice**
chairman, ISA, and president & CEO,
Concept2Silicon Systems



It is a very timely policy. If implemented properly, it can boost the design and manufacturing environment in India. The policy is well-drafted with clear objectives. The strategies listed are comprehensive and reflect the basic understanding of growth realities addressing the entire electronics ecosystem.

— **Rajiv K. Bapna, Director,**
Amkette

PRODUCTION CAN NO LONGER BE IGNORED

The government of India has finally unveiled the Draft National Policy on Electronics, 2011 aimed at promoting indigenous production. Here we present the draft policy and industry reaction

The electronics demand in India was \$45 billion in 2008-09 and it is expected to reach \$400 billion by 2020.

However, the domestic production in 2008-09 was only about \$20 billion. Also, the actual value-addition in the domestically-produced electronics products is very low, ranging between 5 and 10 per cent in most cases. At the current rate of growth, the domestic production can cater to a demand of only \$100 billion in 2020 as against a demand of \$400 billion, so the rest would have to be met by imports. This aggregates to a demand-supply gap of nearly \$300 billion by 2020. Unless the situation is corrected, it is likely that by 2020, the electronics import may far exceed oil imports!

Given India's growing strength in chip design and embedded software, the increasing importance of design in product development has potential to make India a favoured destination for electronics system design and manufacturing (ESDM).

ESDM is of strategic importance as well. Not only in internal security and defence, the pervasive deployment of imported electronics in civilian domains such as telecom, power, railways and civil aviation can have serious consequences of disruption of service. This renders tremendous strategic importance to the sector. We cannot be totally dependent on imported electronic components and products for such a sector.

The draft policy on electronics lays emphasis on giving thrust to the ESDM sector. The policy's vision, mission, objectives and strategies are outlined below:

I. VISION

Create a globally competitive electronics design and manufacturing industry to meet the country's needs and serve the international market

II. MISSION

1. Promote indigenous manufacturing in the entire value-chain of ESDM for economic development
2. Develop capacities for manufacture of strategic electronics within the country
3. Promote a vibrant and sustainable ecosystem of R&D, design and engineering, and innovation in electronics
4. Develop high-quality electronics products at affordable prices for inclusive adoption and deployment to improve productivity, efficiency and ease of operations in other sectors
5. Promote environment-friendly global best practices in the use and disposal of electronics products

III. OBJECTIVES

1. Create an eco-system for a globally competitive ESDM sector in the country to achieve a turnover of about \$400 billion by 2020 involving investment of about \$100 billion and employment to around 28 million people at various levels
2. Build on the emerging chip design and embedded software industry to achieve global leadership in VLSI, chip design and other frontier technical areas, and achieve turnover of \$55 billion by 2020
3. Increase the export in ESDM sector from \$5.5 billion to \$80 billion by 2020
4. Significantly enhance the availability of skilled manpower in the ESDM sector. Special focus on augmenting